

Course Syllabus

Course Name & Number	FIN 579: Behavioral Finance
Quarter	Fall 2025
Start & End Dates	September 29 th – December 1 st , 2025
Credits	4 credits
Delivery Format	In-person
Course Website	https://canvas.uw.edu/courses/1829786

Course Overview

Financial outcomes are the result of *human* decisions: Stock prices emerge from the buying and selling decisions of thousands of individual investors. Corporate executives decide when a firm should raise new capital and how it should invest. A household's ability to comfortably retire, or prepare for unexpected events, depends on a lifetime of past decisions to save and borrow. Even hedge fund managers, investment advisors, and other professionals are only human.

Behavioral Finance is the study of human decision-making applied to multiple fields of Finance. This involves integrating classic models of behavior from Economics together with insights from Psychology about how we make judgments and arrive at decisions. Behavioral Finance acknowledges our imperfections and even irrationality, and provides us with insights on how to avoid mistakes in order to reach better outcomes for ourselves and our stakeholders – insights that even allow us to identify opportunities in financial markets. We will examine our human imperfections and mistakes from two perspectives. First, we will see how our behavior can hold us back from attaining our individual financial goals. Second, we will see how these individual decisions can add up to make markets inefficient, prices detached from fundamentals, and corporate decisions sub-optimal.

Debates and discussions between traditional economists (such as Gene Fama) and behavioral economists (such as Bob Shiller and Dick Thaler) have driven scientific progress. Similarly, discussion and critical thinking will be an important part of this Elective. We will be critical of traditional perspectives from Economics. But we will also question more recent behavioral finance perspectives: for example, if a stock price is "wrong", why hasn't someone else profited from this opportunity already? Throughout this course, we will read and discuss scientific findings on human behavior and asset prices, together with business case studies of corporate events.

Course Learning Objectives

This course will help students to

- Understand and critically assess the assumptions and implications of traditional finance as well as behavioral finance.
- Recognize and possibly counter your own behavioral patterns. Also, utilize behavioral frameworks to accomplish your goals and to help others.
- Apply behavioral finance concepts to evaluate possible market inefficiencies and hence investment opportunities.
- Evaluate how firms should respond to behavioral investors, while managing the challenges posed by of behavioral managers.

Faculty Information



Ahmed Guecioueur

Email: ahmedgc@uw.edu

Office: PACCAR 437

Office Hours

Office hours will be announced throughout the course. You can also email me if you need to organize additional office hours.

Faculty Bio

Ahmed is an Assistant Professor of Finance and Business Economics at the University of Washington's Foster School of Business in Seattle, which he joined in 2024. Prior to this, he studied for a PhD in Management (specializing in Finance) at the INSEAD business school in France. Before entering academia, Ahmed worked in the financial services industry in London (England), including seven years at a specialized systematic hedge fund (as Quant Developer and Trader), and at various investment banks in the areas of short sales, mergers & acquisitions, and commodities.

Ahmed's research interests are in Behavioral Finance, particularly in information transmission and usage in the asset management industry and in financial markets. He has examined the effect of

communication by fund managers on investor risk-taking, the consequences of limited consideration by mutual fund investors on the fees they are charged, how households integrate their perceptions of the macroeconomy and of the stock market, and why even quantitative investors can ignore useful information in their decision-making. He has presented his research internationally at academic conferences and seminars, including venues such as the Federal Reserve and the National Bureau of Economic Research.

Teaching Assistants

Yibei Cai

yibei@uw.edu



Yibei Cai will support the course as a Teaching Assistant. She is a second-year PhD student in the Finance Department at Foster. Before transitioning into finance, she focused on applied mathematics and statistics. Her current interests center on macro-finance and asset pricing. *"I am always happy to connect—please feel free to reach out with questions about coursework or research."*

Wei-Feng Hsu

cl50402@uw.edu

Wei-Feng Hsu will support the course as a Teaching Assistant. He is a PhD student in the Finance Department at Foster. Originally from Taiwan, he completed his undergraduate studies there before earning a Master of Science degree at the University of British Columbia. His research interests include household finance, empirical asset pricing, and political economy. Outside of academics, he enjoys playing badminton.

Communication Expectations

UW Email and Canvas Announcements are the official means of communication for this class.

Students are expected to read and act upon email in a timely fashion. Students should check their email regularly along with the Announcements section of this course.

All instructor correspondence will be sent to your @uw.edu email account. We will not regularly check the Canvas inbox – direct email will be more effective.

Please allow the instructor up to 48 hours to respond to your emails.

Course Structure & Format

Delivery Method

This course uses Canvas for the facilitation of communications between faculty and students, posting course materials and activities, submission of assignments, and posting of grades.

Canvas can be accessed at <https://canvas.uw.edu/>

Attendance & Participation

The knowledge and skills that you will gain in this course will highly depend upon your full engagement. This engagement includes your attendance and active participation, and it is crucial to both your and your classmates' learning experiences.

Readings

Required Course Pack

Students are required to purchase an online course pack (one per student) through the HBS Publishing website. This course pack allows you to access the business cases and trading simulation activity, which are mandatory parts of the course.

You must use the following link (which changes every year) to make the purchase:

<https://hbsp.harvard.edu/import/1335689>

This HBS course pack costs just under \$20. If you have any special circumstances that prevent you from purchasing it, please write me an email as soon as possible.

Required Text

Our course uses Thaler (2015), *Misbehaving: The Making of Behavioral Economics*, as the required text for this class. The book covers many of the topics of the class in an accessible manner. I will list the chapters roughly corresponding to a given class. However, the book is excellent: if you have time, I recommend you read it back-to-back. This text is also available in audiobook and Kindle editions.

Optional Texts

For students interested in rigorous optional reading material, I recommend David Hirshleifer's 2015 article titled "Behavioral Finance." The article provides a good overview of many topics in this

class and beyond, and will be shared on Canvas. Ackert and Deaves' *Behavioral Finance: Psychology, Decision-making, And Markets* is a good textbook treatment of behavioral finance.

Finally, there are many other great books related to aspects of this course. In particular:

- Kahneman (2013), *Thinking, Fast and Slow*
- Robert Shiller (2016), *Irrational Exuberance*
- Andrew Lo (2017), *Adaptive Markets: Financial Evolution at the Speed of Thought*

Requirements

I expect that you come prepared to each class. To do so, you should read the assigned chapters from the textbook and review any additional reading material on Canvas.

We will discuss **3 business cases**. It is *crucial* that you prepare *all* of them. To help you with the preparation, I will provide a number of questions for each case. At the beginning of the class discussion, you should be ready and able to describe the set-up of the case, the main questions at hand, the possible solutions, and the reasons why you favor one solution over another. If you are not sufficiently prepared, you should alert me before class, as I will *call* on individual students during case discussions.

For each of these 3 business cases, you will have to also submit a **case write-up** *prior to the class* in which the case will be discussed. Write-ups are prepared by students working in teams of 3-4 students. Write-ups should be no more than 4 pages of double-spaced text, with no more than 4 pages of charts or tables. The grade of each write-up will depend on the *quality* of the analysis and the effectiveness with which you present your argument. I will provide specific questions for each case write-up that I ask you to address.

All students must also submit 3 individually-prepared **assignments** on the material covered in class. These are open-book.

To familiarize you with the latest research in behavioral finance, all students will have to give a brief (approximately 10 minutes, depending on final class size) **presentation of a research paper** in teams; the team size and exact presentation length will be decided later, when enrollment is finalized. I will guide you on the format of the presentation itself. After each presentation, there will be a brief opportunity for your classmates to ask you questions. I will propose a list of papers; students will sign up for a paper at the beginning of the quarter. Further details will be posted on Canvas.

You will also be graded on your **participation** in class, especially during case discussions.

Finally, you must fill out 4 **quizzes** throughout the course, and 1 **survey** at the very beginning of the course, and you will earn credit for these as well. The quizzes and survey will not assess you on "right" or "wrong" answers.

Course Outline

The course outline is subject to change depending on actual progress. I will post updated course outlines on Canvas. If there is a conflict between the schedule below, and what I have posted on Canvas, then the *Canvas version takes precedence*.

Class	Date	Day	Topic
BEHAVIOR			
1	29-Sep	Mon	Introduction. Preferences.
2	06-Oct	Mon	Beliefs. Decision-Making, Biases and Heuristics.
3	13-Oct	Mon	Mistakes in Households' and Investors' Behavior.
MARKETS			
4	20-Oct	Mon	Efficient Markets Hypothesis. Limits to Arbitrage.
5	27-Oct	Mon	Case Discussion: <i>"Strategic Capital Management, LLC"</i> • <u>Due before class:</u> submit case memo
6	03-Nov	Mon	Bubbles and Crashes, with in-class Trading Simulation • <u>Bring to class:</u> laptop or tablet with internet access
7	10-Nov	Mon	Case Discussion: <i>"AQR's Momentum Funds"</i> • <u>Due before class:</u> submit case memo
FIRMS			
8	17-Nov	Mon	Firms, Managers & their Investors
9	24-Nov	Mon	Case Discussion: <i>"AMC: The Zero Revenue Case"</i> • <u>Due before class:</u> submit case memo
10	01-Dec	Mon	Further Topics. Finishing Student Presentations.

Assessment Overview & Grading Policies

Grading Overview

All types of graded activities are listed below. For some activities, students have to structure their write-up themselves, for example, in form of a memo to a decisionmaker in a business case. Write-ups should be no more than 4 pages of double-spaced text, with no more than 4 pages of charts or tables. Grades will depend on the quality of the analysis and the effectiveness with which the arguments are presented.

For all activities, students should remember that even though form without substance is meaningless, form still matters. All graded material should be prepared in a form that meets professional standards: This includes dating any material, numbering pages, labeling graphs and tables, referencing sources, and, most importantly, communicating in a concise and effective manner.

A portion of your grade will depend on *active* participation.

For the initial survey and the four quizzes, you will receive credit for a genuine effort to answer the questions posed, regardless of whether your answers are correct or not.

Activity Type	#	Value	Total
Survey	1	10	10
Assignments: Individual	3	60	180
Assignments: Team	3	80	240
Quizzes	4	10	40
Participation	-	-	170
Research Paper Presentation	1	80	80
Total			720 points

Final Grade

Your final grade will be based on your relative performance in class. Foster School policies set a target median grade—the middle grade when all students are ranked—for elective courses like this one. That target is between 3.4 and 3.6. To meet this requirement, final grades will be adjusted (curved) so that the overall distribution aligns with this standard. This policy is intended to promote consistency and fairness across courses.

What this means for you in practice:

- A high raw score (in points or percentages) doesn't always translate to a top grade in a curved system. What matters is how your score compares to the rest of the class. For example, if many students score highly on an assignment, even a 90% might be close to the median. Therefore, to help you monitor your relative performance throughout the course, the average score for each assignment will be announced after it is graded.
- At the end of the course, if your final grade is between 3.4 and 3.6, you are in the middle of the distribution.
- Students who perform significantly above the median will be recognized and rewarded with top grades.

Discussion Participation

We will have multiple opportunities for you to participate in discussions throughout the course. Class participation is extremely important, as our class should be a common learning experience where you demonstrate ownership and initiative for the success of the course.

Some of the criteria we will use to judge the effectiveness of your participation during these discussions include:

- Are you willing to participate?
- Do your comments show evidence of appropriate, insightful analysis of the questions/prompt?
- Are your comments relevant to the discussion?
- Are you a good listener as well as speaker? Can you play off of the comments of others?
- Are you willing to test new ideas? Or are all of your comments "safe"?

To ensure balanced participation during case and other class discussions, I may use a pre-announced random call list, which I will share on Canvas before the class.

To encourage students to speak freely and participate actively, you are all asked to observe the following ground rules throughout the course:

- Raise your hand and wait until called upon; do not shout out suggestions or answers.
- Lower your hand if another student was called upon, and wait until they finish before raising your hand again.

Submitting Assignments

Instructions for submitting assignments are included with the assignment descriptions within the Canvas course site. (Unless explicitly allowed, submission by email is not permitted.) Due dates for all graded work are included in the Canvas Calendar, which you can access by clicking on the “Syllabus” tab in Canvas.

Some assignments require the submission of a case memo in advance of an in-class case discussion. Among other topics, the in-class case discussion will typically involve students sharing their approaches and solutions to the business problem in the case. It is therefore impossible to fairly grade a case memo that is submitted after a case discussion begins. For this reason, any case memo that is submitted after the case discussion class begins **will receive a score of zero**. All team members are jointly responsible for their work and for submitting the case; therefore all team members will receive this score of zero. If there are any unforeseen circumstances affecting one of the team members, then another team member is required to step up and perform the submission before it is too late. As well as entrusting the submission task to a reliable team-member, the other team-members should double-check the task was performed correctly; for example, making sure the latest/correct version of the file is submitted. For the same reasons given above, revised submissions also cannot be accepted after the case discussion class begins.

Late or Missed Assignments

Notify the instructor *BEFORE* an assignment is due if an urgent situation arises and the assignment can't be submitted by the due date. Published assignment due dates (Pacific Time) are firm. Please follow the appropriate University policies to request an accommodation for religious observances.

Grading Procedure

Grades reflect your performance on assignments and adherence to deadlines. The grading turnaround time will be 2 weeks. Grades will be posted in the gradebook section on the Canvas course site.

Rubrics

Most of the graded work in this course includes a grading rubric, which should help you understand the requirements of the assignment, and give you detailed feedback about your grade / performance. Rubrics will be included within the assignment description.

Participation & AI Policies

Attendance and Participation

Attendance is not mandatory in this course; however, students who do not attend class typically score poorly on participation because it is difficult to participate when you are absent.

Arriving late to class will also likely detract from your participation grade, especially when disruptive. Please let me know of any conflicts that may require you to arrive late or leave early.

Participating in all 3 case discussions and the trading game is an important part of the course, so failing to do so will detract significantly from your participation grade. If you encounter an unavoidable conflict for one of those classes then please contact me as soon as possible so we can arrange an alternative assessment.

Professionalism

I expect you to treat this class as you would treat any professional responsibility. For this reason, conduct that is disrespectful or disruptive to your fellow students will detract from your participation grade. In professional settings – such as the workplace and this class – any debate or disagreement must occur in a constructive, collaborative and respectful manner.

Teamwork

Learning to be a constructive team player is an essential career skill, and in this course I expect all students to fully engage in team assignments, including the preparation of the research paper presentation. I also expect you to make reasonable efforts to resolve any disagreements or scheduling issues within your team.

In the rare event where a student in your team does not participate in the assignment, you can send me a joint memo or email (co-signed by other team members) describing what occurred and providing supporting evidence. Upon receipt, I may request further information from all students in the team. In the interest of fairness, I reserve the right to adjust the participation scores of one or more students in the team, and/or re-allocate assignment points among individual members, and/or require a student in the team to submit an individual make-up assignment in lieu of the group assignment (with a deadline of my choosing).

Use of Artificial Intelligence (AI)

Large language models (LLMs) and other AI technology can be both a help and a hindrance in your learning journey. Always observe the following two rules, in your own interests:

1. Students are *not* permitted under *any* circumstances (i) to upload copies of, or (ii) to copy-paste any portions of, business case studies to *any* technology platform, LLM, or AI model or software, including the software described in [2] below. This policy is to protect you from violating copyright laws. Recent legal developments show that publishers are taking copyright seriously, and are collaborating with AI platforms to this end.
2. The *only* platform/software students are permitted to use is the [Microsoft Copilot platform provided by UW](#). You must log in with your UW NetID. *All* other platforms and AI software are forbidden. This policy is to ensure compliance with student data regulations. It also has the added benefit of ensuring fairness across the whole class by avoiding inequality of access to different platforms/software.

You are welcome to use the sole permitted platform in [2] above to help you in your writing, or to help summarize scientific papers as you are reading them. However, I strongly recommend you apply caution when doing so:

- LLMs are known to hallucinate, and can invent or misrepresent the content of any text you are working with. (In my own experience, I have even seen an LLM hallucinate the title and authors written at the start of a scientific paper!) Part of this course involves critically discussing a research paper, so you can see how trusting an LLM's output may hurt your performance in this class. Always take charge of your own reading and thinking.
- LLMs are known to use unclear and overcomplicated language to hide the fact they do not understand a topic. You will be assessed on the clarity of your communication, so you can see how adopting suggestions by LLMs may hurt your performance in this class. Always do your own editing and ensure you write in your own "voice."

Finally, remember that you will have to rely on your own knowledge during in-class discussions and in-class presentations, and you will be assessed accordingly. After you graduate, your employers, colleagues and clients will judge you in a similar way. Do not allow yourself to develop an unhealthy reliance on LLMs and AI technology, whether for this course or for your future career.

Additional Policies and Resources

Academic Integrity and Student Conduct

This program employs the principles and procedures espoused by the [University of Washington Community Standards and Student Conduct guidelines](#) to maintain academic integrity in the course. The Code establishes the expectation that students will practice high standards of professional honesty and integrity. In particular, implementation of the Code at the Foster School of Business prohibits cheating, attempted cheating, and plagiarism—including improper citations of source material—as it pertains to academic work. Suspected violations will be handled in compliance with the [University of Washington Student Conduct Code](#) as outlined in [Washington Administrative Code 478-121](#).

Copyright

The course content is for class purposes only and are to be used only by the student enrolled in the course. All rights are reserved. No part of this course may be reproduced, distributed, or transmitted in any form or by any means, including photography, video recordings, screen shots, or other electronic or digital methods, without the prior written permission of the instructor. This includes uploading course materials to any third-party website, social media platform, or file-sharing service.

Access and Accommodations

Your experience in this class is important. If you have already established accommodations with Disability Resources for Students (DRS), please communicate your approved accommodations to me at your earliest convenience so we can discuss your needs in this course.

DRS offers resources and coordinates reasonable accommodations for students with disabilities and/or temporary health conditions. Reasonable accommodations are established through an interactive process between you, your instructor(s), and DRS. It is the policy and practice of the University of Washington to create inclusive and accessible learning environments consistent with federal and state law.

If you have not yet established services through DRS, but have a temporary health condition or permanent disability that requires accommodations (conditions include but not limited to; mental health, attention-related, learning, vision, hearing, physical or health impacts), you are welcome to contact DRS at:

Website: <http://depts.washington.edu/uwdrs/>

Guide: [Getting Started / Accessing Resources](#)

Email: uwdrs@uw.edu

Phone: 206-543-8924

Fax: 206-616-8379

Course Evaluations

Course evaluations are done toward the end of the quarter during a predetermined time period. Students will have 24-48 hours to complete their course evaluation, which is delivered digitally from the UW Office of Educational Assessment.

All evaluations are anonymous and are used to make improvements to the course and are included in a faculty member's annual review. It is important to complete the evaluations and provide your honest assessment both in the quantitative and qualitative measures.

Religious Accommodation Policy

Washington state law requires that UW develop a policy for accommodation of student absences or significant hardship due to reasons of faith or conscience, or for organized religious activities. The UW's policy, including more information about how to request an accommodation, is available at [Religious Accommodations Policy](#). Accommodations must be requested within the first two weeks of this course using the [Religious Accommodations Request form](#).

Safety

Call SafeCampus at 206-685-7233 anytime – no matter where you work or study – to anonymously discuss safety and well-being concerns for yourself or others. SafeCampus's team of caring professionals will provide individualized support, while discussing short- and long-term solutions and connecting you with additional resources when requested.

Technical Support

Technology Requirements

This course requires Internet access and a web browser.

Students without their own technology access can make use of the following resources:

- UW [Student Technology Loan Program](#) for long-term loans
- Foster Business School (PACCAR 191) for short-term loans

Network Use Policies

Please read the University of Washington's [Student Use of UW Computing Resources Policy](#).

Canvas Support

IT Connect: [Canvas Help for Students](#)

Instructure: [Canvas Student Guides](#)

Syllabus Purpose and Disclaimer

This syllabus serves as a guideline for what to expect in this class and an implicit agreement between the instructor and the student.

Before contacting the instructional staff, please review these documents first to see if your question is addressed.

Every effort will be made to avoid changing the course schedule, but adjustments may be necessary to accommodate errors, omissions, or unforeseen events (such as weather events).

In the event changes are made to the syllabus, students will be informed during class, on the course website, and via email. It is your responsibility to be aware of these changes, so please check your email and the course site often.